

HELIOS TOWERS PLC LON: HTWS

May 29, 2026 - 8:40pm EST

by

tdylan409

			2026	2027
Price:	234.60	EPS	0.15	0.17
Shares Out. (in M):	1,154	P/E	16.0	14.1
Market Cap (in \$M):	3,655	P/FCF	16.0	14.1
Net Debt (in \$M):	1,823	EBIT	488	548
TEV (in \$M):	5,478	TEV/EBIT	11.2	10.0

Description

(Note: Helios reports in US Dollars under IFRS. EBITDA and FCF metrics in the financial summary use management's Adjusted definitions; reconciliations to statutory measures are in each H1 and full-year report. P/E above represents Price / Recurring Free Cash Flow, and EBIT represents EBITDA - Maintenance Capex.)

Summary

Helios Towers (HTWS LN) is the leading independent mobile-tower company across Africa, with 14,992 sites and 33,350 tenancies across nine countries (#1 independent towerco position in seven of them). It owns passive tower infrastructure and leases space to mobile network operators under long-dated master leases. The result is a hard-currency, inflation-protected infrastructure business: 99% of committed revenue is from large multinational MNOs, ~70% of revenue/EBITDA is in USD/EUR or pegged currencies, ~70% of customers are investment grade, and \$5.3bn of future contracted revenue provides 6.7 years of average remaining initial life.

Helios has struggled to find its footing in public markets since its IPO in 2019, due to a variety of factors: London listing, African assets, USD reporting, narrow investor base, and screens that penalize leverage, small-cap, and EM geography. For much of its history, it was seen as a risky and over-levered roll-up. This may have been fair in the earlier life of the company, when it had a narrower geographic footprint, less of an established track record, net leverage near 5x, and minimal free cash flow. However, the current valuation underestimates the company's strong financial position, diversification, and prospects for profitable growth.

Helios' merger integration cycle is complete; group tenancy crossed 2.2x one year ahead of target, ROIC has moved from 10% in 2022 to 14.5% in Q1 2026, and recurring FCF has inflected (\$208mm in FY2025, +40% y/y). Three things remain underpriced. First, the durability of double-digit tenancy growth: Senegal, Oman, South Africa, and Madagascar still sit at 1.2-1.8x ratios versus a >2.5x group target. Second, the attractive colocation economics: as those tenancies are added, incremental rent drops through at ~95% margins, lifting site ROIC from 12% with one tenant to 25% with two and 35% with three. Third, the credibility of capital returns: \$44mm of the \$75mm buyback has already executed at an average 168p, well below the current price, with an inaugural \$25mm dividend to follow in 2H 2026.

At 235p, HTWS trades at 10x 2026E and 9x 2027E TEV/EBITDA, with recurring FCF yield expanding from ~6% in 2026E to ~8-9% by 2028E. US tower comps trade in the high teens despite mid-single-digit EBITDA growth; private-market M&A comps have printed at 12-14x (AMT/Eaton 12x in 2020, IHS-Kuwait 14x in 2024). Under IMPACT 2030 (launched Nov 2025), management targets >9% Adjusted EBITDA CAGR, >\$1.3bn cumulative RCF, >\$400mm of shareholder distributions, and 15-20% ROIC by 2030. We believe HTWS should compound equity value at 20%+ annualized over 3-5 years through tenancy growth, colocation operating leverage, declining leverage, ratable buybacks/dividends, and modest re-rating.

Company History

- 2009: Helios Towers founded with backing from Helios Investment Partners, Albright Capital, Quantum, and IFC; initial Tanzania platform.
- 2010-2014: Acquires 5,000+ towers across Tanzania, Ghana, DRC, and Congo Brazzaville from Millicom (Tigo), Airtel, Vodacom, and others, establishing the colocation operating model.
- 2017-2018: Sponsors evaluate a sale; instead pursues an IPO path. Tom Greenwood named CEO in 2018.
- 2019: IPOs on the London Stock Exchange at 115p, raising ~\$364mm.
- 2020-2022: Platform expansion cycle. Adds Senegal/Madagascar, Malawi, South Africa, and Oman, doubling the country count to nine and adding 6,000 sites.
- 2022-2025: Platform integration cycle. Focus shifts from M&A to organic tenancy growth, power efficiency, and FCF inflection. Completes the 2.2x by 2026 tenancy-ratio target one year early.
- 2025: Credit rating agencies upgrade S&P/Fitch to BB- and Moody's to Ba3; tenders \$120mm of convertibles below par, eliminating 41mm potentially dilutive shares.
- November 2025: Launches IMPACT 2030 with a \$75mm buyback authorization and inaugural \$25mm dividend. This is the first true capital-return framework for the company.
- Q1 2026: Raises FY26 tenancy-addition guidance by 1,000 to 3,000-3,500, the earliest in-year upgrade in company history. Q1 tenancy adds of 1,406 versus 563 consensus.

Business Overview

Helios is a pure-play tower infrastructure business. It owns and operates the passive layer of mobile networks (steel towers, land access, foundations, batteries, diesel generators, grid connections, solar where viable, security, and maintenance) while customers own the active radio equipment. Customers sign master lease agreements that typically run 10-15 years initially, include CPI escalators and power-price pass-throughs, and are denominated in USD or in currencies pegged to USD/EUR. This structure turns volatile African mobile capex into long-duration contracted revenue and allows the company to earn 50%+ Adjusted EBITDA margins despite operating in difficult markets. Power management is a meaningful operational moat: Helios supplies power for ~25% of operating hours due to grid unreliability and has delivered ~99.9% power uptime, a number very few of its competitors come close to.

The strong economic model is core to the thesis. A new build-to-suit tower has a fully-loaded cost of roughly \$120-150k and is underwritten by an anchor tenant at a high-single-digit yield on cost. Every incremental colocation tenant added to the same site drops through at ~95% margins because the steel, land, foundations, security, and most of the power infrastructure are already in place. Site ROIC therefore moves from ~12% with one tenant to ~25% with two and ~35% with three. Helios entered Q1 2026 at a 2.2x group tenancy ratio and targets >2.5x by 2030. This tenancy uplift converts the same asset base from merely acceptable infrastructure returns into attractive compounding without requiring incremental capital.

The portfolio is diversified by region. 2025 revenue was 41% East & West Africa, 51% Central & Southern Africa, and 9% MENA, with segment Adjusted EBITDA contributions of 46% / 43% / 11% before corporate allocation. The largest country exposures are Tanzania and

DRC, both mature Helios markets with high tenancy ratios, long customer relationships, and limited independent tower alternatives. Senegal, Oman, South Africa, and Madagascar provide the lower-ratio runway that can keep group tenancy growth above mature-market tower peers for years. Helios is the #1 independent TowerCo in seven of its nine markets and overlaps with American Tower or IHS in only two countries representing roughly 10% of sites, so competitive intensity in the core portfolio is low.

East & West Africa (46% of group EBITDA): Tanzania, Senegal, and Malawi. Tanzania remains the legacy crown jewel: 11,569 tenancies, 2.7x tenancy ratio, and decade-long relationships with all major MNOs. Senegal, acquired from Free Senegal in 2021, has only a 1.2x tenancy ratio and is one of the best lease-up opportunities in the portfolio. Malawi, acquired from Airtel in 2022, is already at 2.1x and should continue to benefit from Airtel's regional network investment. The segment grew Adjusted EBITDA 15% y/y in Q1 2026.

Central & Southern Africa (43% of group EBITDA): DRC, Congo Brazzaville, Ghana, South Africa, and Madagascar. DRC is the second-largest country exposure, with 7,823 tenancies at a 2.8x ratio, reflecting heavy network demand and limited substitute tower supply. Ghana is a steady compounder at 2.4x. South Africa and Madagascar are smaller but strategically useful as lower-ratio growth markets. The segment grew Adjusted EBITDA 24% y/y in Q1 2026, the strongest segment performance in the portfolio.

MENA / Oman (11% of group EBITDA): HT Oman is a 70/30 joint venture with Omantel that consolidated more than 2,500 Omantel towers in 2022. Oman provides hard-currency revenue, Gulf investment-grade customer credit, and a structurally low 1.8x tenancy ratio. The MENA segment should be one of the faster growers through IMPACT 2030 as Vodafone Oman and other market participants add equipment to a tower base that still has significant colocation capacity.

Our channel work supports the same conclusion as the operating data: African towers can be excellent long-term recurring-cash-flow assets, but only if the operator is disciplined on country selection, power economics and operations, and customer contracts. Helios has repeatedly walked away from expansion opportunities that did not clear return thresholds, and its power-management capability is a real differentiator in markets where grid reliability and diesel logistics can make or break economics. That discipline is why the company is now expanding ROIC rather than simply adding towers.

Industry Overview

The structural growth story is straightforward. Sub-Saharan Africa has the lowest mobile penetration, the fastest population growth, and the most underbuilt data networks of any major region. 4G/5G mix is rising, and mobile data traffic in Helios markets is growing at 30-40% annually from a low base. Africa already runs at ~4x the global average SIMs per tower, and points-of-service growth is expected to compound at ~7% over the next five years. That demand becomes either colocation on existing towers or new build-to-suit towers, both of which land directly in Helios's opportunity set.

Independent tower penetration is still early relative to developed markets. Independents own roughly one-third of African and Middle Eastern sites today, leaving a long runway as MNOs continue to outsource the passive layer; new TowerCo leases are typically priced ~30% below an MNO's all-in TCO of self-ownership, which is why operators with stretched balance sheets keep selling. Helios, IHS, and ATC Africa are the principal pan-African independents, but Helios is disproportionately exposed to markets where it has leading positions, high customer trust, and visible lease-up runway.

One much-discussed bear case is that LEO satellites, direct-to-cell offerings, or fixed wireless will reduce the need for terrestrial towers. We do not dismiss the long-term technology risk, but the medium-term evidence points to complementarity. Direct-to-cell capacity, economics, spectrum rights, handset compatibility, and regulatory approvals are still meaningful constraints, especially in lower-ARPU African markets. The more likely 5-10 year interaction is hybrid: satellite backhaul expands rural coverage, MNOs use towers for dense traffic, and tower sites remain the practical aggregation layer for power, equipment, and local distribution.

Management

Tom Greenwood (CEO, age 47) has been with Helios since 2010 and was named CEO in 2018, leading the company through IPO, platform expansion, merger integration, and now capital returns. Prior to Helios he spent six years at Barclays in M&A. Under his leadership the company scaled from ~6,500 sites pre-IPO to nearly 15,000 today, achieved the 2.2x tenancy target early, and transitioned from cash-consuming growth to FCF generation.

Manjit Dhillon (CFO, age 44) joined Helios in 2010 and became CFO in 2020. Dhillon has overseen the balance-sheet repositioning that reduced net leverage from 4.6x in 2022 to 3.5x in Q1 2026 and helped secure credit rating upgrades.

Helios has meaningful telecom and tower expertise across its board and senior leadership a former US tower-company CEO, Vodafone, and senior leadership experience from Vodacom. Newlight, the company's main private equity backer, has sold down its stake to ~6%, and still holds a board seat.

Financials/Valuation

Management now guides 2026 Adjusted EBITDA of \$515-530mm, implying 11% organic growth y/y. The five-year IMPACT 2030 target is >9% Adjusted EBITDA CAGR, but the Q1 2026 tenancy upgrade suggests that plan may already be conservative. Cash flow is key to the thesis. Helios delivered \$208mm of recurring FCF in 2025, up 40% y/y, and now guides 2026 RCF of \$215-230mm despite a step-up in discretionary capex. The company targets >\$1.3bn of cumulative RCF across 2026-2030, ~35-40% of today's market cap. Management intends to reinvest >\$500mm into accretive organic growth and return >\$400mm to shareholders, while retaining additional balance-sheet flexibility. The capital-return program is no longer aspirational: through end-April 2026 the company had completed \$44mm in buybacks, repurchasing ~2% of share count at an average 168p. The company is also initiating a dividend program in 2026, likely in the 2nd half of the year. This mix is powerful: HTWS is no longer choosing between growth and capital returns; it is doing both.

At 235p the stock trades at 10x 2026E and 9x 2027E TEV/EBITDA. Developed market peers AMT and SBAC trade in the high teens, Cellnex around the mid-teens. Private-market M&A comps in Africa have also printed materially higher (American Tower / Eaton at ~12x in 2020, IHS divestiture of Kuwait at ~14x in 2024), which is the cleaner benchmark for what disciplined infrastructure buyers actually pay for tower portfolios. We agree HTWS should trade at a discount to US towers because its assets sit in higher-risk jurisdictions, but the current

discount is too large relative to the growth and return profile. A company growing EBITDA double digits, expanding ROIC, generating hard-currency cash flow, and buying back stock should not trade at the same broad multiple as lower-quality emerging-market telecom infrastructure.

If HTWS compounds Adjusted EBITDA at ~10% through 2030, EBITDA reaches roughly \$750-800mm. Applying 10-12x EBITDA, still well below US tower multiples, implies enterprise value of \$7.5-9.5bn. Factoring in ~\$1.5bn of net debt, equity value would be \$6-8bn versus ~\$3.7bn today. Add ~\$400mm of cumulative buybacks and dividends and the investment can produce a 20%+ annualized return over 3-5 years without heroic assumptions.

Risks

- **Country and political risk.** HTWS operates in nine countries with non-trivial sovereign, regulatory, and political risk. DRC, Tanzania, and Ghana are the largest exposures, and DRC alone represents roughly one-fifth of the site base despite an ongoing politically volatile environment. A material license dispute, currency-control measure, tax change, civil disruption, or contract intervention could impair cash flows. Mitigants: Diversification, long-dated contracts, multinational customers, hard-currency or hard-currency-pegged revenue, local operating teams, and a 15+ year operating history across these markets without a material loss event.
- **FX and customer ability-to-pay.** Revenue is largely USD or USD-pegged, but local MNO subsidiaries earn in local currency. Severe local depreciation can pressure customer economics even when Helios's contracts are hard-currency linked. Nigeria's 2023 devaluation is the obvious industry stress case, even though HTWS has no Nigeria exposure. Mitigants: ~70% of revenue/EBITDA in hard currency, ~70% investment-grade customer mix, CPI and power-price protections, and multi-country customer relationships that make Helios a strategic supplier rather than a discretionary vendor.
- **Customer concentration and MNO consolidation.** The top four customers (Airtel, Vodacom, Axian, Orange) historically accounted for ~74% of revenue, with Omantel and MTN also material; further MNO consolidation in any market could create network-overlap risk. Mitigants: long-dated MLAs, cancellation limitations, tower rationalization friction in undercovered markets, and the fact that traffic growth often requires more equipment even when operators share selected active infrastructure.
- **Capex discipline and ROI.** If management overbuilds, underestimates power costs, or chases low-return BTS growth, the RFCF and distribution math could compress. Mitigants: explicit ROIC framework, history of walking away from unattractive M&A, and increasing transparency around site-level economics.
- **Leverage and refinancing.** Net leverage is down to 3.5x. The April 2026 \$500mm 6.75% senior note refinancing and May 2026 \$250mm undrawn term loan improved maturity coverage and liquidity, but the company still depends on access to dollar credit markets. Higher rates or weaker emerging-market credit appetite would reduce equity value.
- **Satellite / fixed wireless substitution.** LEO direct-to-cell and fixed wireless are real long-term technology risks. The timing, economics, and capacity are still uncertain, and the most likely medium-term use case is complementary satellite backhaul and edge coverage rather than full substitution for terrestrial towers. This risk should be monitored, not dismissed.

Conclusion

Helios Towers is a better business than its multiple implies. The company has moved from platform build-out to cash compounding, with hard-currency contracted revenue, improving ROIC, accelerating tenancy growth, and the first meaningful capital-return program in its history. The Q1 2026 guidance raise validates demand at the start of IMPACT 2030 and shows that the company can maintain growth even as shareholder distributions begin. We believe HTWS can compound equity value at 20%+ annually over 3-5 years through tenancy growth, operating leverage, buybacks/dividends, and a modest re-rating. The risks are real, but they are visible and more than priced into the current forward EBITDA multiple.

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Catalyst

- Completion of the remaining buyback authorization and payment of the inaugural \$25mm dividend in H2 2026
- Visible progress toward >2.5x tenancy ratio and 15-20% ROIC by 2030
- Further rating upgrades as leverage moves sustainably within the 2.5-3.5x target range
- Other tower M&A read-through that resets private-market valuation benchmarks

Messages

Subject	LEO & Leverage
Entry	05/31/2026 11:06 AM
Member	BTudela16

Thanks for the write up. Two questions:

First, you describe LEO as a potential threat to the business model (your phrasing on this was extremely mild, to be clear, I am not saying you were screaming about imminent cataclysm or something). Our understanding is that, even putting aside ARPU/economics challenges, that there are fundamental limitations just in terms of physics. In particular, capacity density as well as link budgeting/building penetration and out-of-band emissions limitations are all basically binding constraints on LEO in an urban setting. Do you disagree?

Secondly, on leverage. The company is going to end its forecast period well below what most would consider a prudent leverage level for a towerco. Have you modeled out what a buyback on that incremental leverage capacity might look like? It seems like they could buy back most of the free float if they hold leverage constant, which is pretty nuts.

Subject	Re: LEO & Leverage
Entry	06/01/2026 02:55 PM
Member	tdylan409

On LEO - agree with all the points you made. Building penetration seems like a particularly tough barrier to crack just on the laws of physics, which limits the usefulness of the service beyond as a complement/safety backup to standard wireless.

Agreed that they could lean into buybacks to drive per-share economics even faster. Traditionally, they've been held back by limited free float, accentuated by a big PE ownership block, though both of those concerns are lower now than they were a year ago.